

DOWN QUARK SYSTEMS, LLC AND SUNNYSIDE
DIGITAL, INC.,

Complainants,

v.

ZIM AMERICAN INTEGRATED SHIPPING
SERVICES CO., LLC; ZIM INTEGRATED SHIPPING
SERVICES, LTD.; AND PORT OF HOUSTON
AUTHORITY OF HARRIS COUNTY, TEXAS,

Respondents.

Respondents ZIM American Integrated Shipping Services Co., LLC and ZIM Integrated Shipping Services, Ltd. (collectively, “ZIM” or “Respondents”), through and by their undersigned counsel, respectfully submit this Motion to Dismiss in accordance with 46 C.F.R. §§ 502.69 and 502.70 and move to dismiss all claims contained in the Verified Complaint filed by Down Quark Systems, LLC (“DQS”) and Sunnyside Digital, Inc. (“SunnySide”) (collectively, the “Complainants”) in this proceeding. This is a dispositive motion subject to sections 502.69(g) and 502.70 of the Federal Maritime Commission (“FMC” or the “Commission”) regulations. As detailed in the memorandum in support of this Motion below, the grounds for dismissal are as follows:

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- (2) The Complaint does not sufficiently allege a “practice”, as required for a claim under section 41102(c) of the U.S. Shipping Act.
- (3) The Complaint does not sufficiently allege an “unfair or unjustly discriminatory practice” with respect to its claim pursuant to section 41104(a)(4) of the U.S. Shipping Act.
- (4) The Complaint only sets forth naked assertions and legal conclusions regarding the non-compliance of ZIM’s demurrage invoice with 46 C.F.R. § 541.6, specifically with the requirement to provide “[t]he basis for why the billed party is the proper party of interest and thus liable for the charge.” 46 C.F.R. § 541.6(a)(4).
- (5) The Complaint fails to state a claim under section 41102(d) because the Complainants do not allege that they engaged in “protected activity” and that ZIM engaged in “prohibited conduct.”

MEMORANDUM IN SUPPORT OF RESPONDENTS’ MOTION TO DISMISS THE COMPLAINT

I. Background

The Complaint was served to the Commission, ZIM, and the Port of Houston Authority of Harris County, Texas on May 26, 2026. The Complaint alleged that ZIM and Port of Houston Authority of Harris County, Texas (“Houston Bayport”) violated certain provisions of the U.S. Shipping Act and FMC regulations with respect to one hundred forty-seven (147) containers transported from China via ocean carriage to Houston, Texas, which moved under seven (7) ZIM master bills of lading, were subject to a Customs hold and inspection, remained on the marine terminal far beyond the allotted free time as the Complainants and U.S. Customs and Border

Protection (“CBP”) discussed the appropriate tariff classification of the imported merchandise, and accrued charges including demurrage. This matter involves the following: demurrage invoices covering containers subject to review by CBP at a Centralized Examination Station (“CES”) (the “CES Demurrage Invoices”), demurrage invoices covering all other containers (the “ZIM Demurrage Invoices”), and “terminal storage” charges. Compl. ¶¶ 1-146 (as applicable).

II. Legal Standard for Motion to Dismiss

The Commission’s Rules of Practice and Procedure do not expressly provide for motions to dismiss. Rule 12, codified at 46 C.F.R. § 502.12, states that where a situation is not covered by a specific Commission rule, the Federal Rules of Civil Procedure (“FRCP”) shall apply provided that the FRCP is consistent with sound administrative practice. Accordingly, the Commission has adopted the FRCP standards for motions to dismiss to the extent that this dispositive motion is not already addressed in the Commission’s rules and federal caselaw interpreting FRCP 12(b)(6). *See Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, Dkt. No. 09-01, 2011 WL 7144008, at *11 (FMC Aug. 1, 2011).

As part of its review of a motion to dismiss, the Commission considers the facts set forth in the complaint, excluding any legal conclusions, inferences, naked assertions, and formulaic recitations of the elements of a cause of action, and determines whether the complaint states “a claim to relief that is plausible on its face.” *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007); *see also Cornell v. Princess Cruise Lines, Ltd.*, Dkt. No. 13-02, 2014 WL 5316340, at *6 (FMC Aug. 28, 2014) (“Under this standard, courts focus on the language in the complaint, and whether that language sets forth sufficient factual allegations to support the plaintiff’s claim for relief”). Put differently, there must be a cognizable claim under the U.S. Shipping Act of 1984, as

amended (the “Shipping Act”), and the factual content of a complaint must allow the court to draw reasonable inference that a defendant is liable for the alleged misconduct. *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009). This legal standard looks to whether a complainant has sufficiently pled the claim – not whether a complainant can prevail on its claim. *MAC Industries Inc. v. COSCO Shipping Lines Co., Ltd.*, Dkt. No. 25-29, 2026 WL 1603335, at *2–3 (ALJ May 21, 2026) (citing *Negron v. USAA Casualty Ins. Co.*, 2014 WL 4411676, at *2 (M.D. Tenn. 2014)).

III. Argument

A. The Complainants Lack Standing Under the Direct Purchaser Rule to Bring Shipping Act Claims Against ZIM

At the outset, the Complaint should be dismissed in its entirety because the Complainants lack standing to assert any claim against ZIM under the Shipping Act, as they have failed to plead facts alleging a direct-purchaser relationship with ZIM with respect to the CES Demurrage Invoices, ZIM Demurrage Invoices, or the “terminal storage” charges. Compl. ¶¶ 1-146 (as applicable).

Any person may file a complaint alleging a violation of the Shipping Act. 46 U.S.C. § 41301(a). However, only a complainant who has suffered “actual injury” caused by the violation is entitled to seek reparations. 46 U.S.C. § 41305(b). The complainant bears the burden of proving its entitlement to reparations. *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, Dkt. No. 16-16, 2022 WL 2209421, at *3 (FMC June 10, 2022). Moreover, the FMC has taken the position that only the party that actually paid the carrier (or the payor’s valid assignee) may seek reparations for an overcharge, not an indirect purchaser further down the chain. *In re Vehicle Carrier Services*, Dkt. Nos. 16-01, 16-07, 16-10 & 16-11, 2019 WL 5558120, at *6–7

(FMC Oct. 21, 2019) (affirming the ALJ’s grant of the motion to dismiss certain complainants for lack of standing under the direct purchaser rule) (hereinafter, “VCS”). This principle is known as the “direct purchaser rule.” The Commission explained the direct purchaser rule in VCS:

In the 80 years since the Shipping Board held that a respondent could not rely on a pass-on theory to avoid liability to a complainant for reparations, the Commission has repeatedly found that a complainant cannot rely on a pass-on theory to recover reparations for overcharges. In numerous decisions, the Commission has ruled that only the party who actually paid the carrier (or the valid assignee of the payor) can sue for reparations. *Gov’t. of Guam*, 29 S.R.R. at 902, 908-09, 2002 FMC LEXIS 16 at *58-59 (striking consignee’s reparations claim because it was not the direct payor or assignee); *Cal. Cartage v. Pac. Mar. Ass’n*, 23 S.R.R. 420, 427 (FMC 1985); *Sanrio, Inc. v. Maersk Line*, 19 S.R.R. 907 (ALJ 1979) (denying consignee’s claim for overcharges allegedly passed along to it); *Trane Co. v. South African Marine*, 19 F.M.C. 375, 378 (ALJ 1976); *Carton-Print v. Austasia Container Express*, 17 S.R.R. 571, 575 (ALJ 1977).

Id. at *6. In VCS, the Commission also explained the rationale underlying the direct purchaser rule, noting that the rule was necessary “to prevent multiple judgments (by various parties in the distribution chain) and to avoid the complex task of accurately and fairly apportioning damages among various parties along the distribution chain.” *Id.* (citing *Illinois Brick Co. v. Illinois*, 431 U.S. 720, 730–33, 737 (1977)).

Accordingly, to state a claim for reparations under the Shipping Act, the Complainants must allege either that (1) they directly paid ZIM for carrier services or (2) they received a valid assignment from the direct purchaser of those services. The Complaint, however, fails to plead facts that sufficiently allege either that the Complainants were the direct purchasers of the ZIM services at issue or that they received a valid assignment from the party that was.

1. There Is No Allegation That the Complainants Purchased Carrier Services from ZIM, Received ZIM Invoices, or Obtained an Assignment of Rights

As an initial matter, based on the face of the Complaint, the Complainants were not direct purchasers of the ZIM services underlying the CES Demurrage Invoices, the ZIM Demurrage Invoices, or the “terminal storage” charges. The Complaint does not allege that the Complainants were parties to any of the seven (7) bills of lading issued by ZIM or otherwise had a direct contractual relationship with ZIM. Moreover, the Complaint alleges that ZIM invoiced TD Logistics, Inc. (“TD Logistics”)—not the Complainants—for the demurrage charges at issue but fails to plead any facts alleging that TD Logistics assigned to the Complainants any rights that could arise from those invoices.¹

The Complainants attempt to bootstrap standing by alleging that “DQS would be the proper party responsible to pay any such amounts in relation to the Containers and the CES Demurrage Invoices, ZIM Demurrage Invoices, and the Port Import Dwell Fees.” Compl. ¶ 2. That allegation, however, improperly equates ultimate responsibility for the charges with status as the first-line direct purchaser of the carrier’s services. Indeed, the Complaint alleges only, in *conclusory terms*, that one of the Complainants is the “proper party” that ultimately bears the economic burden of the charges. *See Cornell*, 2014 WL 5316340, at *7 (“[T]he Commission need not accept legal conclusions cast in the form of factual allegations.”) (internal quotation marks omitted). Nowhere does it allege that any Complainant directly purchased the underlying services from ZIM or actually paid ZIM pursuant to a contractual relationship.

¹ Specifically, the Complaint alleges that, on June 4, 2025, ZIM issued three (3) CES Demurrage Invoices (totaling \$5,880) “to TD Logistics.” Compl. ¶ 43. It further alleges that, on September 29, 2025, ZIM issued seven (7) ZIM Demurrage Invoices (totaling \$7,050,260) “to TD Logistics.” Compl. ¶ 93. It also alleges that when ZIM commenced an action in November 2025 to recover the amounts due under the ZIM Demurrage Invoices, it sued TD Logistics—not the Complainants—in the Southern District of New York. Compl. ¶ 123.

2. *ZIM Issued the Demurrage Invoices to TD Logistics, Which Is Not Alleged to Have Acted as the Complainants' Agent*

With respect to the CES Demurrage Invoices totaling \$5,880, the Complaint alleges that the Complainants paid that amount on August 25, 2025. Compl. ¶ 47. Those invoices, however, were issued by ZIM “to TD Logistics”—not to the Complainants. The Complainants’ voluntary payment of invoices addressed to TD Logistics does not transform them into direct purchasers *vis-à-vis* ZIM. The Complainants’ voluntary payment of invoices addressed to TD Logistics leaves them, at most, as indirect purchasers with respect to ZIM.

Second, the Complaint fails to plead facts that would allow the Complainants to step into TD Logistics’ shoes under the agency theory applied in *Simple Forwarding Inc. v. China United Lines Ltd.*, Dkt. No. 2010(F), 2025 WL 1723588, at *14 (ALJ Feb. 6, 2015) (notice not to review issued March 11, 2025). In *Simple Forwarding*, the ALJ concluded that the direct purchaser rule did not apply because the trucker that paid the detention invoice was, “in essence, . . . Claimant’s agent or courier.” *Id.* Importantly, the trucker acted “on Claimant’s behalf” and functioned as “an extension of Claimant” in its dealings with the carrier. *Id.* The pleadings here allege the opposite arrangement. The Complainants themselves allege that TD Logistics “acted as the destination agent for Shenzhen”—the China-based non-vessel-operating common carrier that booked ocean carriage aboard the *ZIM CANADA*—rather than as an agent for the Complainants. Compl. n. 7. The Complaint does not allege that TD Logistics paid ZIM on the Complainants’ behalf or acted pursuant to the Complainants’ direction in connection with any ZIM invoices. Indeed, TD Logistics has taken a position adverse to the Complainants’ theory of the case by filing its own FMC charge complaint challenging the ZIM Demurrage Invoices. Compl. n. 64. and ¶ 136. Based on these actions and facts alleged in the Complaint, TD Logistics (the party in the

invoicing chain) appears to be a distinct commercial actor pursuing its own alleged regulatory grievance against ZIM, not a courier or paying agent acting on the Complainants' behalf. The Complaint therefore fails, on its face, to allege the agency relationship necessary to invoke the narrow exception to the direct purchaser rule recognized in *Simple Forwarding*.

3. Multiple Parties' Overlapping Claims Arising from the Same ZIM Demurrage Invoices Require Application of the Direct Purchaser Rule

The Complaint itself identifies multiple parties asserting overlapping claims or interests arising from the same ZIM invoices, further supporting application of the direct purchaser rule. First, TD Logistics filed a charge complaint with the FMC on April 14, 2026, challenging ZIM's issuance of the ZIM Demurrage Invoices. Compl. n. 64. and ¶ 136. Second, DQS's parent company, Elektron Energy Operations Ltd. ("Elektron"), submitted a formal dispute letter through the ZIM Dispute Portal contesting those charges. Compl. ¶ 120. Third, the Complainants commenced the present FMC action seeking relief based on the same invoices. This is precisely the type of scenario the direct purchaser rule is intended to prevent. As the Commission has explained, the rule serves to "avoid the complex task of accurately and fairly apportioning damages among various parties along the distribution chain" and to eliminate the risk of multiple inconsistent judgments against the respondent. *VCS*, 2019 WL 5558120, at *6. Those concerns are not merely hypothetical here; they are borne out by the overlapping proceedings and disputes pursued by different parties, as alleged in the Complaint itself. Those allegations further undermine any contention that the Complainants regarded themselves as the first-line direct purchasers of ZIM's services.

In light of the foregoing, the Complaint should be dismissed in its entirety.

**B. The Complaint Does Not Sufficiently Plead the Existence of a Specific ZIM
“Practice”, As Required for a Section 41102(c) Claim**

The Complaint presents several claims against ZIM under section 41102(c) of the Shipping Act, which prohibits a common carrier from failing to “establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” In order to state a section 41102(c) claim, the Complainants must sufficiently allege all elements set forth in the FMC regulations at 46 C.F.R. § 545.4, which include, in relevant part, that the claimed acts or omissions of the regulated entity occur on a “normal, customary, and continuous basis” or, in other words, constitute a “practice.”

The Complainants’ section 41102(c) claims include “catch all” language but specifically cover the following ZIM actions:

- Assessment of demurrage charges on containers.
- Decision not to extend free time and/or waive or reduce demurrage charges.
- Filing of lawsuits at the U.S. District Court for the Southern District of New York (“SDNY”) and the U.S. District Court for the Southern District of Texas, Houston Division (“S.D. Tex.”)².

These claims fail for one important reason – the Complaint does not sufficiently allege that any of ZIM’s acts occur on a “normal, customary, and continuous basis,” thereby failing to plead that there is a “practice” at issue. This standard requires the Complainants to sufficiently

² The S.D. Tex. lawsuit was dismissed on June 30, 2026. Notice of Voluntary Dismissal, *Zim Integrated Shipping Services Ltd. v. Elektron Enterprises LLC*, No. 4:26-cv-02995 (S.D. Tex. June 25, 2026).

plead that ZIM’s acts constitute a “pattern of behavior” resulting in the claimed loss. *See Kamara v. Honesty Shipping Serv.*, Dkt. No. 1841(I), 2001 WL 898739, at *2 n.8 (SCO July 26, 2001). FMC case precedent has consistently defined a “practice” as something “often repeated and customary,” “habitually performed,” or a “pattern.” *Mediterranean Shipping Co., S.A. – Possible Violations of the Shipping Act*, 46 U.S.C. §§ 41102(c), 40501, and 41104(a)(2)(A), Dkt. No. 23-08, 2025 WL 708791, at *37 (ALJ Feb. 25, 2025) (citing *Intercoastal Investigation*, 1935, 1 U.S.M.C. 400, 432 (1935); *Investigation of Certain Practices of Stockton Elevators*, 3 S.R.R. 605, 618 (FMC June 30, 1964)) (internal quotation marks omitted). A practice is not “isolated,” “occasional,” or a “single incident.” *Id.* (citing *Altieri v. Puerto Rico Ports Authority*, 7 F.M.C. 416, 419–20 (Oct. 18, 1962)).

The FMC has dismissed claims when a complaint fails to sufficiently allege that a practice exists. In *MAC Industries*, FMC Chief Administrative Law Judge Wirth granted the motion to dismiss a section 41102(c) claim because the complainant failed to plausibly allege that the “asserted unreasonable billing issues meet[] the normal, customary, and continuous element as it appears to be an unusual situation where there was a government hold on one shipment.” *MAC Industries*, 2026 WL 1603335, at *7. The Commission has also affirmed the dismissal of section 41102(c) claims on the basis that only a few shipments were involved. *See Hangzhou Qianwang Dress Co., Ltd. v. RDD Freight Int’l Inc.*, Dkt. No. 17-02, 2020 WL 5406762, at *5 (FMC Sept. 1, 2020).³ Similarly, in *Phillip Marciano LLC v. U.S. Cargo Servs*,

³ In *Hangzhou Qianwang Dress Co., Ltd. v. RDD Freight Int’l Inc.*, the Commission affirmed the Administrative Law Judge’s determination that even though the respondent released three (3) shipments to the same consignee without an original bill of lading over a two-month period, the conduct did not amount to a “normal and customary” practice. *Hangzhou Qianwang Dress*, 2020 WL 5406762, at *5. This case is consistent with FMC precedent. For example, in *Investigation of Certain Practices of Stockton Elevators*, the Commission considered whether six incidents over a period of several months and involving the same parties constituted a “practice.” *Id.* at 6 (citing *Investigation of Certain Practices of Stockton Elevators*, No. 1072, 8 F.M.C. 181, 194–96, 200–

Inc., the claim under section 41102(c) was dismissed for failure to sufficiently plead a “practice” existed. Dkt. No. 25-11, 2025 WL 3732714, at *9–10 (ALJ Dec. 16, 2025) (notice not to review issued January 16, 2026). There, the matter centered on four (4) shipments. *Id.* While Phillip Marciano identified additional containers, the FMC Chief Administrative Law Judge stated that the complainant failed to “plausibly allege[] that the conduct identified here meets the normal, customary, and continuous element as it appears to be an unusual situation where the shipper instructed that delivery not be made to this particular consignee over a limited period of time.” *Id.*

Consistent with the legal standards for a motion to dismiss, ZIM must rely on the factual allegations alleged in the Complaint. Here, the Complaint does not sufficiently plead that any of ZIM’s alleged misconduct amounts to a “practice” under section 41102(c). First, the scope of this matter strictly relates to seven (7) shipments which were tendered to ZIM by Shenzhen Perdo International Logistics Co., Ltd., a foreign-based non-vessel-operating common carrier (“NVOCC”) registered with the Commission in March 2025. Compl. ¶¶ 22-23, 25. Second, the shipments involved the same parties, arrived at the Port of Houston, Texas, in April 2025, were subject to the same government hold, and were reviewed by CBP for the same tariff classification inquiry. Compl. ¶¶ 1-146 (as applicable). Lastly, this inquiry required the same resolution – that the importer of record revise and resubmit the CBP Form 7501 for the shipments to reflect a new tariff classification. Compl. ¶ 52. Put simply, this matter is an incident stemming from one issue – a CBP examination and hold – that resulted in the accrual of demurrage charges because of this specific hold and due to a specific tariff classification issue.

01 (FMC June. 30, 1964)). Like in *Hangzhou*, no “practice” within the meaning of section 41102(c) existed because there was no “usual course of conduct” or conduct habitually performed. *Id.* at 5. Rather, the conduct was infrequent and amounted to occasional transactions.

Demurrage was assessed on only seven shipments and accrued because of the same reason, ZIM issued only a small number of invoices for these demurrage charges, and the matter relates to conduct during a limited period from April through September 2025.

Moreover, the factual allegations set forth in the Complaint plead that this is an unusual matter and ZIM deviated from its usual practices. The Complainants emphasize that this matter is a unique situation. For example, the matter involves containers that are not “typical cargo shipping containers.” Compl. ¶ 18. Although the containers are described as “standard 20-foot high-cube shipping containers,” the Complaint provides that the containers are transformed because the interior is outfitted as a cabinet or cooling tower for bitcoin mining operations. *Id.* The Complainants argue that the carrier tariff does not cover these containers due to their special nature and because the containers are not carrier-owned. Compl. ¶¶ 97-106. Even if assuming *arguendo* that the containers are not standard 20-foot high-cube containers and are not covered by the ZIM tariff, nothing in the Complaint suggests that ZIM ordinarily or customarily assesses demurrage charges on shipper-owned containers or containers otherwise not covered by its demurrage rule. Rather, the Complaint suggests that ZIM did not act in accordance with its tariff and actually *deviated* from its usual rules and practices on this occasion. In other words, the factual allegations indicate that ZIM’s conduct was irregular and an outlier from its established practices. Rather than adequately pleading a ZIM practice, the Complaint alleges the contrary—ZIM departed from its practice, and this is an exceptional occurrence.

With respect to the determination not to extend free time or waive or reduce demurrage charges, the Complaint does not provide sufficient facts showing that these acts occurred on more than even one occasion with respect to ZIM. The Complaint does not provide information on any free time extension request submitted to ZIM and any decision issued by ZIM in reply to

such request. As for the request for waiver or reduction of demurrage charges, the Complaint provides that two formal dispute letters were submitted on October 22 and 29, 2025, to ZIM. Compl. ¶ 114. These letters are not enclosed as Exhibits with the Complaint and limited information regarding the contents of these letters was provided in the Complaint itself. ZIM provided one response letter, addressing all shipments related to this one CBP hold and involving the same parties, the same issues, and the same disputed charges. Compl. ¶ 128. Again, the Complainants do not suggest that this ZIM act was a customary, routine, normal, or habitual practice.

For the same reasons, the claim that filing two (2) lawsuits at the U.S. District Courts is a “practice” within the meaning of section 41102(c) of the Shipping Act, the administrative history of the Shipping Act, and FMC case precedent does not hold water. Compl. ¶¶ 123, 135-136, 157. These lawsuits center on the collection of outstanding fees, including carrier demurrage charges, and import storage charges assessed by the Port of Houston Authority of Harris County, Texas to ZIM and for which ZIM paid in full. Compl. ¶¶ 130-131. The outstanding fees accrued on the seven shipments, and were due to the CBP hold, which stemmed from a tariff classification issue and was prolonged because the Complainants needed to engage outside customs counsel, gather responsive information, prepare a submission to CBP, and discuss the matter at length with the agency. Compl. ¶¶ 17-56. Notably, the containers were ultimately released after the Complainants changed the tariff classification *originally declared* on the customs entry forms. Compl. ¶ 52 of the Complaint. The lawsuits were also, at the time the subject Complaint was filed with the FMC, actions against separate parties, TD Logistics⁴, an ocean transportation

⁴ Recently, on July 27, 2026, ZIM Integrated Shipping Services, Ltd. amended its complaint at the United States District Court for the Southern District of New York to include Down Quark Systems LLC, SunnySide Digital Inc. and John Doe Corporate Entities Nos. 1-5. Amended Complaint, *Zim Integrated Shipping Services, Ltd. v.*

intermediary licensed by the Commission and involved with the shipments at-issue, and Elektron, the parent company of DQS. Compl. ¶¶ 123, 135.

Absent a claim for relief under section 41102(c) that plausibly alleges ZIM's conduct constitutes a "practice", ZIM respectfully requests dismissal of these claims consistent with FMC precedent such as *Mac Industries*.

C. The Complaint Does Not Allege An "Unfair or Unjustly Discriminatory Practice" Under Section 41104(a)(4).

The Complainants allege that ZIM violated section 41104(a)(4) of the Shipping Act, which prohibits a common carrier from providing services pursuant to a tariff in "any unfair or unjustly discriminatory practice in the matter of ... rates or charges ... or adjustment and settlement of claims" and point specifically to ZIM's assessment of purportedly invalid demurrage charges and decision to originally file a lawsuit against TD Logistics at SDNY.⁵ Compl. ¶ 153. However, the Complainants do not adequately plead that ZIM's act was unfair or unjustly discriminatory.⁶ In *MAC Industries*, the complainant alleged unreasonable discrimination by the ocean common carrier under section 41104(a)(3); however, the claim was dismissed for failure to plausibly allege a violation under the Shipping Act because it did "not describe another entity that was treated differently." *MAC Industries*, 2026 WL 1603335, at *12.

TD Logistics, Inc., No. 1:25-cv-09492 (S.D.N.Y. July 27, 2026). Nevertheless, Respondents respectfully assert that the lawsuits were not retaliatory as they were not in filed response to protected activities engaged in by the Complainants. At the time of filing the lawsuits, ZIM sought, in good faith, the collection of outstanding charges owed only by TD Logistics and Elektron.

⁵ See *supra* n. 4. The SDNY complaint has only recently been amended to include the Complainants.

⁶ "Unfair" should be read together with the term "discriminatory practice", consistent with other sections of the Shipping Act. See *Ander v. Terra Global Logistics Corp.*, Dkt. No. 2027(I), 2026 WL 498186, at *14 (SCO Feb. 12, 2026) (notice not to review issued March 17, 2026).

Yet, the Complaint here is silent on whether ZIM engaged in any sort of discriminatory conduct such as different treatment of the Complainants compared to other similarly situated shippers.

The Complaint also fails to allege any ZIM “practice” with respect to its assessment of demurrage or decision for filing the lawsuit at SDNY. For the very same reasons discussed above in Section II.B of this Motion, the Complaint indicates that ZIM’s assessment of demurrage charges was an isolated incident specific to only seven shipments, involving the same parties, stemming from one CBP hold, and occurring in a closed time period. The Complaint also alleges that this matter is unique and that ZIM may have deviated from well-established practices. As for the SDNY lawsuit, and as discussed in the prior section of this motion, the matter involves the collection of outstanding carrier demurrage charges. At the time ZIM initially filed its SDNY action, it sought to collect these charges from a separate party, TD Logistics. There is no allegation of any pattern of ZIM filing lawsuits in response to demurrage dispute letters or assessing allegedly invalid demurrage charges.

Absent the Complainants alleging facts showing that ZIM’s conduct was an unfair or unjustly discriminatory practice, this claim should be dismissed.

D. The Complaint Does Not Sufficiently Allege Why the ZIM Demurrage Invoices Are Not Compliant with 46 C.F.R. § 541.6(a)(4).

Paragraph 151 of the Complaint alleges, in part, that ZIM’s demurrage invoices are invalid and do not comply with 46 C.F.R. Part 541. *See* 46 U.S.C. § 41104(a)(15). One of its primary arguments is that all of the ZIM demurrage invoices do not identify “[t]he basis for why the billed party [TD Logistics] is the proper party of interest” for the demurrage charges, as required by 46 C.F.R. § 541.6(a)(4). Yet, the Complaint only makes conclusory statements that

the ZIM demurrage invoices do not meet this element and do not supplement with factual support. There is no explanation as to *why* or *how* the Complainants determined that the demurrage invoices were supposedly deficient. There is no discussion as to the content of the demurrage invoices or why the information contained in the demurrage invoices does not meet this data element requirement. The Complaint does not provide reasons why TD Logistics cannot be a billed party. *See* Compl. ¶¶ 45 and 95.

In the final rule on “Demurrage and Detention Billing Requirements,” the Commission addressed requests from commenters regarding the level of detail necessary to satisfy this data element. 89 Fed. Reg. 14330, 14342 (Feb. 26, 2024). The Commission provided the following guidance:

There is no specific or set of specific documents or reference(s) that would meet the requirement of § 541.6(a)(4). The purpose of the regulation is that billed parties must be able to identify why the billing party believes that they are responsible for paying the invoice and to refute that basis if they believe that they have been billed incorrectly. A reference to the applicable tariff rule supporting the billing, specific reference to contractual provisions, or a reference number to identify the contract at issue might all, or might all not, meet this standard depending on the specific circumstances of a particular invoice.

Id. The Complaint does not address whether the ZIM invoices failed to include references to the applicable tariff rule, whether the rule did not include language addressing the basis for billing specific parties, or any other information to support its claim. The Complainants only provide naked assertions that the invoices do not comply with this requirement, warranting dismissal of the claim. *See Cornell*, 2014 WL 5316340, at *7 (“[T]he Commission need not accept legal conclusions cast in the form of factual allegations.”) (internal quotation marks omitted); *see also Port Elizabeth Terminal & Warehouse Corp. v. The Port Authority of New York and New Jersey*, Dkt. No. 17-07, 2018 WL 1942720, at *12 (ALJ Apr. 17, 2018) (dismissing a claim under the

Shipping Act because the “conclusory legal statements, such as ‘unreasonably,’ provide no factual support of its allegations that the Port Authority’s conduct violated the Shipping Act.”).

E. The Complaint Fails to State a Claim Under Section 41102(d) Because the Complainants Do Not Allege That They Engaged in “Protected Activity” and That ZIM Engaged in “Prohibited Conduct”

The Complaint alleges that ZIM violated section 41102(d) by retaliating against the Complainants through the filing of multiple lawsuits—including one in the U.S. District Court for the Southern District of New York and another in the U.S. District Court for the Southern District of Texas—following an active demurrage dispute. Compl. ¶¶ 126–138, 154. This count fails to state a retaliation claim under the standards set out by the FMC for two reasons: (1) the Complaint does not allege that the Complainants themselves engaged in any “protected activity”; and (2) it does not plead facts showing that ZIM’s filing of lawsuits against TD Logistics⁷ and Elektron, entities not named as parties in this FMC proceeding, and for collection of carrier demurrage charges and separate storage charges constituted “prohibited conduct” within the meaning of section 41102(d).

Section 41102(d) sets forth the statutory prohibition against retaliation and states:

(d) RETALIATION AND OTHER DISCRIMINATORY ACTIONS.—A common carrier, marine terminal operator, or ocean transportation intermediary, acting alone or in conjunction with any other person, directly or indirectly, may not—

⁷ See *supra* n. 4. ZIM acknowledges that only recently did it amend the SDNY action to include the Complainants. Nevertheless, neither DQS nor SunnySide engaged in any protected activity. ZIM’s lawsuit did not follow any action or threat of action by the Complainants, as protected by the Shipping Act. Filing lawsuits to collect outstanding charges under purely breach of contract claims or quantum meruit claims do not amount to conduct prohibited by section 41102(d) of the Shipping Act.

- (1) retaliate against a shipper, an agent of a shipper, an ocean transportation intermediary, or a motor carrier by refusing, or threatening to refuse, an otherwise-available cargo space accommodation; or
- (2) resort to any other unfair or unjustly discriminatory action for—
 - (A) the reason that a shipper, an agent of a shipper, an ocean transportation intermediary, or motor carrier has—
 - (i) patronized another carrier; or
 - (ii) filed a complaint against the common carrier, marine terminal operator, or ocean transportation intermediary; or
 - (B) any other reason.

In its *Statement of the Commission on Retaliation*, the Commission articulated the requirements for stating a retaliation claim:

A complainant must show that ***a carrier engaged in prohibited conduct*** (refusing cargo space accommodations or other unfair or unjustly discriminatory methods), with respect to a protected entity (shipper), ***because the protected entity engaged in protected activity*** (patronizing other carriers, filing a complaint, or other activities of the same class).

Statement of the Commission on Retaliation, Dkt. No. 21-15, 2021 WL 9294128, at *6 (FMC Dec. 28, 2021) (emphasis added). The Commission has found that a complainant engages in protected activity by threatening to file a complaint with the Commission in a demand letter. *OJ Commerce, LLC v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG*, Dkt. No. 21-11, 2024 WL 4034610, at *16–19 (FMC Aug. 27, 2024). By contrast, a complaint made only to the carrier, without any accompanying threat to seek relief before the Commission, does not constitute protected activity. *See 20230930-DK-Butterfly-I, Inc. v. MSC Mediterranean Shipping Co. SA*, Dkt. No. 23-12, 2024 WL 1299768, at *5–6 (ALJ Mar. 25, 2024). Accordingly, to state a retaliation claim, a complaint must allege that the complainant brought its grievance to the Commission’s attention or, at a minimum, threatened to do so.

Here, the Complainants’ allegations fail to establish that they engaged in the protected activity necessary to support a claim under section 41102(d). The Complaint alleges only that Elektron submitted a formal dispute letter through the ZIM Dispute Portal stating that “***Elektron (and/or the appropriate entities on its behalf)*** intended to challenge the ZIM Demurrage Invoices (including any ‘storage’ charges) before the FMC.” Compl. ¶ 136 (emphasis added). Even assuming *arguendo* that Elektron’s threat to challenge the invoices before the FMC constituted protected activity, the Complaint does not allege that the Complainants themselves made such a threat or otherwise brought their alleged grievances to the Commission’s attention before commencing this proceeding. The Complaint also does not allege that Elektron falls within a protected class under section 41102(d). As noted above, the relevant inquiry is whether the Complainants themselves engaged in protected activity. Allegations concerning the conduct of Elektron, a separate entity that is not a party to this proceeding, cannot satisfy that requirement. Accordingly, the Complaint fails to plead the protected activity necessary to state a retaliation claim under section 41102(d).

Separately, the Complainants fail to state a claim under section 41102(d) because ZIM’s initial filing⁸ of lawsuits in federal court against entities that are not even parties to this proceeding is not within the scope of prohibited conduct. No FMC precedent holds that the filing of a federal lawsuit constitutes prohibited conduct, and the Shipping Act and the FMC regulations contain no prohibition against such conduct. On the contrary, the FMC’s recognition that related litigation may proceed concurrently in federal court demonstrates that the filing of

⁸ See *supra* n. 4. However, ZIM respectfully asserts that even the later amendment of its SDNY action to include the Complainants is not prohibited conduct as the matter involves pure breach of contract claims and the filings were made in good faith. Nothing in the Shipping Act prohibits a common carrier from pursuing claims that fall outside the scope of the Commission’s jurisdiction.

such an action does not constitute prohibited conduct. *See, e.g., MSC Mediterranean Shipping Co. S.A. v. FMC*, 141 F.4th 222, 232 (D.C. Cir. 2025) (“The question is therefore what distinguishes claims of Shipping Act violations, which are actionable through complaints filed with the Commission, . . . from breach of contract claims, ***which must be litigated in the appropriate court or forum.***”) (emphasis added); *Hubbell Inc. v. DSV Air & Sea, Inc.*, Dkt. No. 23-09, 2023 WL 6554517, at *4 (ALJ Oct. 5, 2023) (denying the motion to stay and allowing the FMC proceeding to continue concurrently with the federal court action). The Complaint does not explain how ZIM’s initial filing of two federal lawsuits to collect outstanding charges from TD Logistics and Elektron (neither of which is a party to this proceeding) amounts to prohibited conduct under the Shipping Act. Although the Complaint asserts that the FMC has exclusive jurisdiction, that assertion is merely a legal conclusion unsupported by factual allegations concerning the nature of the two federal actions. Compl. ¶ 137. In particular, the Complaint does not allege that either lawsuit asserts claims arising under the Shipping Act or seeks to hold TD Logistics or Elektron liable for noncompliance with FMC regulations. Accordingly, the Complaint fails to plead facts that sufficiently allege that ZIM’s filing of the federal lawsuits constituted prohibited conduct under section 41102(d).

Moreover, section 41102(d) specifically defines the scope of retaliatory acts as refusing, or threatening to refuse, available cargo space accommodations and “any other unfair or unjustly discriminatory” acts. This catchall category is not unlimited and the *Statement of the Commission on Retaliation* provides the following guidance:

First, a carrier cannot retaliate against a shipper by refusing, or threatening to refuse, cargo space accommodations because the shipper has engaged in protected activity. Second, a carrier cannot resort to other unfair or unjustly discriminatory methods because a shipper has engaged in protected activity.

The “other unfair or unjustly discriminatory” language is a “catchall clause by which Congress meant to prohibit other devices not specifically enumerated but similar in purpose and effect to those barred by § 14 First, Second, and the ‘retaliate’ clause of § 14 Third.” The Court in *Isbrandtsen* held that only conduct “designed to stifle outside competition” fell within this catchall. But it is not hard to envision situations where a carrier might engage in retaliatory conduct that has nothing to do with competition with other carriers. A carrier might engage in conduct detrimental to a shipper (e.g., refusing to enter into, renew, or amend a service contract) to “get even” with or deter that shipper and other shippers from complaining to the Commission.

Statement of the Commission on Retaliation, 2021 WL 9294128, at *5. The *Statement of the Commission on Retaliation* is instructive as it clarifies that “prohibited conduct” means ocean common carrier activities regulated by the FMC such as service contract negotiations, quotes for ocean transportation services, cargo bookings, and cargo space accommodations. Not every act by an ocean common carrier is subject to the FMC’s jurisdiction simply by virtue of the carrier being a regulated entity. Such an expansive interpretation of section 41102(d) would impermissibly broaden the Commission’s scope beyond this provision of the Shipping Act. Congress’s intentions were clear. Section 41102(d)’s catchall category prohibits other conduct not specified in the Shipping Act but which are similar in purpose and effect to refusing cargo space accommodations.

Given that the Complaint does not sufficiently allege that the Complainants themselves engaged in any “protected activity” or that the initial filing of federal lawsuits against nonparties constitutes conduct prohibited by the Shipping Act, this claim should be dismissed.

IV. Conclusion and Request for Relief

For the foregoing reasons, Respondents respectfully request dismissal of the Complaint for failure to state a claim on which relief may be granted. This would require dismissal of the entire Complaint as to ZIM.

Dated this 4th day of August 2026.

Respectfully submitted,



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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that I have this day served the foregoing document upon all interested persons and parties by mailing a copy to each such person via electronic mail to the following email addresses:

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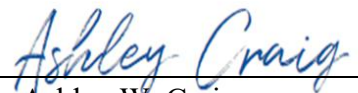
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